that the Reserve Bank will need to address in order to remain a premier policy institution.

The first challenge on my list is for the Reserve Bank to learn to manage both economic and regulatory policies in a globalizing world. The global financial crisis, the eurozone sovereign debt crisis as well as the currency market volatility during my tenure, have emphatically demonstrated how external developments influence our domestic macroeconomic situation in complex, uncertain and often capricious ways. In making policies, the Reserve Bank has to factor in external developments, particularly the spillover impact of the policies of advanced economies on our macroeconomy. This will become even more important as India's integration with the global economy deepens.

Even at the risk of sounding clichéd, let me say that the Reserve Bank needs to 'think global and act local'. The idea is not to fight globalization but to manage it to the country's best advantage. Mahatma Gandhi said: 'I do not want my house to be walled in on all sides, and my windows to be stuffed. I want the cultures of all the lands to be blown about my house as freely as possible. But I refuse to be blown off my feet by any.' The Mahatma's exhortation is even truer today than when he said it.

Over the years, the Reserve Bank, as an institution, has learnt quite a lot about managing policy in a globalizing world. Yet the learning curve ahead is steep. My wish is that the Reserve Bank should take the lead in setting standards for how an emerging-market central bank manages its policies in a globalizing world. The Reserve Bank should become the best practice that other central banks emulate.

The second on my list of challenges is that the Reserve Bank must position itself as a knowledge institution. The crisis has shown that knowledge matters. Those central banks which are at the frontiers of domain knowledge and are pushing the envelope in terms of policies and actions will be better equipped to deal with the complexities of macroeconomic management in an increasingly dynamic and interconnected world.